"OWNING A HOUSE IS OUT OF REACH"

SATYENDRA SHARMA, *44*

Freelance content writer, Sector 151, Noida

Sharma lived in a rented home in Delhi with his mother, wife and two children before moving to Noida in 2020 as rents soared. But rents in Noida soon began climbing too, prompting him to dream of buying a home in Sector 151. That dream, however, has remained elusive. The most affordable homes now cost between Rs 80 lakh and Rs 1 crore—well beyond his budget. During the COVID-19 pandemic, a home was available for Rs 65 lakh, but a salary cut forced him to let the opportunity pass. Today, even if he secures a home loan, he would have to repay it within 15 years, pushing up his EMIs. He already spends Rs 19,000 a month on rent and nearly Rs 30,000 on his children's education. "Buying a house in Delhi-NCR remains just a dream for a middle-class person like me," he says.

— Manish Dixit



CHANDRADEEP KUMAR

the project." By the time homes reach buyers—if they do—they are often years late. "In the end, the developers are not in the business of making affordable homes, they are in the business of making profitable homes. Even if they build affordable homes, by the time they finish, the projects become luxury. So, it is a continuous loop, nobody is really addressing it, yet everybody seems to be talking about it." According to Dutt, even a Rs 1 crore home in Mumbai is still "cheap" because of the costs involved. "The government takes away 50 per cent, anyway. You are left with the balance 50, of which you make 15 per cent return," he adds.

Experts say the problem also lies in the design of affordable housing schemes. "It (the design) is haphazard, and is privately controlled. It follows a bid process, where the plot goes to the highest bidder by default and design," says Dutt. The high price developers pay for land, he argues, can only be justified by building premium commercial or residential projects.

Another factor is the shifting economics for developers. Private builders earn profit margins of 25-30 per cent on premium and luxury projects, compared with just 10-12 per cent on affordable housing. Unlike premium projects, affordable housing offers little scope for revenue-generating amenities or "frills" such as swimming pools and gyms. "From the developers' point of view, margins are extremely low in affordable housing, and even a slight fall in sales velocity will mean margins getting further hurt," says Rao. "At the same time, overhead costs remain the same. So, there is very little incentive to be in this business."

The economics have been further strained by an outdated definition of affordability. The government's price cap for an "affordable" home has remained unchanged at Rs 45 lakh since 2017. Meanwhile, soaring land prices and rising construction, labour and compliance costs mean even basic homes on city outskirts often breach that limit. Developers argue the cap has failed to keep pace with market realities.

REGULATORY MAZE

Yet another stumbling block is regulation. Developers must secure a range of approvals—land use conversion, environmental clearances, zoning permissions, structural certifications and utility connections—before construction can even begin. These approvals are often managed by multiple departments across different levels of government, making the process slow, opaque and inconsistent. Single-window clearance systems introduced in several states aim to simplify the process. However, these systems are often poorly integrated, partly digitised and still reliant on manual interventions that slow down progress. "There are schemes in various states where you are supposed to create certain affordable housing if you want to do a larger development, but they are not regulated